

# INSTRUCTIONS FOR USE

## MyFloridaSeriesLLC Operating Agreements

### Florida Protected Series LLC — Form Operating Agreements

**These instructions are not part of the operating agreement. Do not attach them to, or incorporate them into, the signed agreement. They are provided to help you complete and use the forms. MyFloridaSeriesLLC is not a law firm and does not provide legal advice; these instructions are general information about the forms, not advice about your situation.**

#### 1. READ THIS FIRST — The Recordkeeping Warning

A Florida Protected Series LLC gives you two layers of liability protection. The first protects you personally from the company's debts. The second — the one that makes this structure special — walls off each protected series from the debts of the company and of every other series.

**That second wall exists only as long as your records exist.** Florida law (s. 605.2301, Florida Statutes) protects a series' assets only if the company keeps records specific enough that a "disinterested, reasonable individual" could tell exactly which assets belong to which series, when and from whom each asset was acquired, and — for anything moved between series — what was paid, by whom, and to whom. If those records are not kept, a creditor of one series can reach the assets of the company and of your other series, and Florida law places the burden of proving the records were adequate on **you**.

In practice:

**Every series should have at least one bank account of its own.** Never pay one series' expenses from another's account, or from your personal account.

**Every asset must be properly associated with the series that owns it.** The best way to do that is to title it in the full legal name of that series — exactly as filed, for example: *[COMPANY NAME], LLC - PS 1*.

**Deposit each series' income to that series' account** and pay its expenses from that account.

**Do not move assets between series.** Treat each series as though it were a separate limited liability company — its own account, its own assets, its own contracts, its own records.

**Keep the mothership (the company itself) asset-light.** Under §8.5(b) of your agreement, any asset you fail to associate with a series defaults to the company, where it is exposed to the company's creditors. Owning assets at the series level, with clean records, is the whole point of the structure.

**Review your records once a year.** Neither the statute nor your agreement requires it; do it anyway — it is the cheapest way to find a gap while it can still be fixed.

The free MyFloridaSeriesLLC recordkeeping app and the Series LLC Owner's Manual included with your formation package are built around these requirements.

## 2. Which Agreement to Use

| Your situation                                                        | Use this form                                                         |
|-----------------------------------------------------------------------|-----------------------------------------------------------------------|
| One owner; the agreement names a manager (you or someone you appoint) | <b>Manager-Managed</b> — <b>Single Member</b><br>(disregarded entity) |
| One owner who manages the company directly                            | <b>Member-Managed</b> — <b>Single Member</b><br>(disregarded entity)  |
| Two or more owners; a designated manager runs it                      | <b>Manager-Managed</b> — <b>Multiple Members</b><br>(partnership)     |
| Two or more owners; all owners manage together                        | <b>Member-Managed</b> — <b>Multiple Members</b><br>(partnership)      |

If the company has elected S corporation treatment, each of these four forms has an S corporation version — eight forms in all. Your portal builds the right one from your answers; you do not choose the file yourself.

If you start with the single-member form and later add an owner, adopt the multi-member form at that time — the two forms handle taxes, voting, and creditor protection differently, and the single-member form is not built for two owners.

## 3. Filling in the Blanks

Every blank appears in [BRACKETS]. Complete all of them:

**[COMPANY NAME]** — exactly as shown on your filed Articles of Organization, everywhere it appears, including in each Series Exhibit name.

**[DATE]** — the agreement's effective date.

**[PRINCIPAL ADDRESS]** — the company's principal office. This address also sets the courthouse for any dispute (venue is the county of the principal office).

**[MANAGER NAMES]** (manager-managed forms only) — the initial manager or managers in the appointment. **[MANAGER NAME]** — the manager identified in each manager signature block. The manager does not have to be an owner. The member-managed forms have no manager: the

members manage directly, and in the member-managed forms with more than one owner, one of them is designated Administrative Member under §5.8 to handle ministerial tasks. The Administrative Member also has any additional authority expressly granted by the agreement or by owners holding a Majority in Interest; the role does not make that person a manager.

**[MEMBER NAME(S)], addresses, percentages, contributions** — on Exhibit A. Multi-member percentages must total 100%.

**[THRESHOLD]** (multi-member forms: §5.4(f) manager-managed, §5.5(f) member-managed) — the dollar amount of debt that may be incurred without the consent of every owner: by the manager in the manager-managed forms, by any member acting alone in the member-managed forms. Above this number, any one owner can refuse. A guarantee of anyone's obligation requires every owner's consent regardless of amount. A guarantee of one series' obligations by another series or by the company also requires the express written instrument specified in the agreement. Common choices: \$10,000–\$50,000 for small companies.

**[CAP]** (multi-member §6.2, if included) — see Section 5(a) below.

**Series Exhibits** — one per protected series. See Section 4.

#### 4. Completing a Series Exhibit

Each protected series gets its own Series Exhibit (PS-1, PS-2, and so on), adopted when the series is designated. The series name must match the Sunbiz filing exactly — Sunbiz formats it as the company name, a space-dash-space, then the series identifier (for example, *[COMPANY NAME], LLC - PS 1*).

**The Asset Schedule attached to each Series Exhibit is the most important thing you will write.** The exhibit points to an attached Asset Schedule that you complete yourself — one per series, kept current as assets come and go. Describe each asset so a stranger could identify it without asking you anything:

| Asset type        | What to write                                                                         |
|-------------------|---------------------------------------------------------------------------------------|
| Real property     | Street address AND legal description; date acquired; who you acquired it from         |
| Bank account      | Institution, exact account title, last four digits of the account number, date opened |
| Vehicle           | Year, make, model, VIN                                                                |
| Equipment         | Description and serial number                                                         |
| Contract or lease | The parties and the date                                                              |

| Asset type                                           | What to write                                                          |
|------------------------------------------------------|------------------------------------------------------------------------|
| Anything acquired from the company or another series | All of the above PLUS the price paid, who paid it, and who received it |

"Miscellaneous equipment," "various tools," or "the rental property" are **not** specific enough. If you cannot describe it, a court may treat it as unprotected.

## 5. Optional Provisions (Multi-Member Forms)

Each multi-member form contains three provisions marked **[OPTIONAL]** or **[SELECT ONE ALTERNATIVE]** — four in the manager-managed multi-member forms, which add §5.9. Decide before signing.

**How to omit a provision — never renumber.** When you omit an optional provision, do not delete the section number or renumber anything. Replace the section's text with the single word "[Reserved.]" — for example: *6.2 Additional Capital Contributions. [Reserved.]* Do the same for any cross-referenced item the option tells you to reserve (for example, *(a) [Reserved.]* in Section 11.1). This keeps every section number and cross-reference in the agreement accurate no matter which options you choose. The one exception is Section 4.7 (and, in the manager-managed multi-member forms, Section 5.9), where you keep the alternative you selected and delete the other alternative's paragraph entirely — the section number stays the same either way. Also delete the bracketed instruction notes themselves (the italicized text in parentheses) from the final document.

**(a) Additional Capital Calls — §6.2.** If included, owners holding more than 50% of the ownership interests held by members can require everyone to chip in more money (pro rata), up to the annual per-member **[CAP]** you set — a cap protects minority owners from being bled by repeated calls, so set it at a level everyone can actually pay (many owners choose a figure tied to a year of expected expenses for the properties involved). Including §6.2 does two things: it gives the company a funding mechanism, and it creates a continuing obligation that supports Article 11's bankruptcy protections (see Section 7). Omitting it means no owner can ever be forced to contribute more — friendlier to passive investors, but it removes one of Article 11's anchors and the company must then fund shortfalls through loans or new members. If you omit §6.2, replace the text of §6.2 and §6.3 with "[Reserved.]" and replace §11.1(a) with "(a) [Reserved.]".

**(b) Competition — §4.7, Alternative A or B.** Choose exactly one. **Alternative A** (no competing with the company or your own series while you are a member) suits active business partners who are each other's only allies — note it ends at dissolution and imposes nothing after an owner exits. **Alternative B** (competition permitted) suits passive co-investors, family arrangements, and anyone who invests in multiple ventures — real estate investors who own other rentals individually usually need Alternative B, or they would be breaching the agreement just by owning their other properties. If you select Alternative B, replace §11.1(c) with "(c) [Reserved.]". In the manager-

managed multi-member forms, §5.9 (the Manager's own competition clause) carries the same two alternatives: keep the one that matches your choice in §4.7 and delete the other.

**(c) Deadlock Buy-Sell ("Shotgun") — §13.2.** A company can deadlock with equal or unequal ownership: a majority cannot override a decision requiring unanimous approval. Section 13.2 covers a failure to obtain the required vote to approve or reject a matter that continues for 60 days after written notice of the deadlock. It excludes matters requiring every member's consent where the Act expressly permits a member to withhold that consent. If you include it, an owner holding at least 25% may offer a single cash valuation for the company and all its series; the *other* owners then choose to buy the offering owner's interest or sell their own at their proportionate shares of that valuation. The mechanism can favor an owner with greater access to cash. Without an agreed exit mechanism, owners may need to negotiate a solution or ask a court for relief. To omit it, replace the text of §13.2 with "[Reserved.>". Unequal ownership alone is not a reason to omit it; consider the covered decisions and the owners' ability to fund a buyout.

## **6. Transfer-on-Death Designations**

Every form lets an owner who is an individual register a transfer-on-death (TOD) beneficiary on Exhibit A, using Florida's registration-in-beneficiary-form statute (ss. 711.50–711.512). At the owner's death, the designated beneficiary takes the interest directly — no probate — subject to the agreement. The beneficiary may be any person or entity, except on the S corporation forms, where the beneficiary must be an eligible S corporation shareholder (§9.3(b)); the owner making the designation may not. Section 711.502 limits registration in beneficiary form to individuals, so an owner that is a trust, a corporation, or another LLC cannot designate — and neither may owners who hold one membership interest jointly as tenants in common. In a single-member form, the beneficiary is admitted as the Member on delivering a signed agreement to be bound by the agreement. In a multi-member form, the beneficiary automatically succeeds to the deceased owner's economic interest and holds it as a transferee, but is admitted as a Member only on delivering that signed agreement **and** obtaining the written consent of a Majority in Interest of the other members — the same admission threshold applies to a permitted family transferee, excluding the transferring owner; other new members need every member's written consent and a signed agreement to be bound. Permission to transfer an interest is separate from admission as a voting member.

Two things to understand: **(1)** the statute was written primarily for securities accounts; the agreement's language declaring the interest "registered" with the company is what brings membership interests within it, and while this design is used in practice, no Florida appellate decision has yet passed on it — owners with substantial estates should coordinate the TOD designation with their estate plan (a trust may serve the same purpose with more certainty); **(2)** to change a beneficiary, follow §4.11 in the multi-member forms (§4.6 in the manager-managed single-member forms, §4.5 in the member-managed single-member forms) exactly — a signed writing, two witnesses, delivered as the form directs: to the manager in the manager-managed

forms, to the administrative member in the member-managed multi-member form, or kept with the company's records in the member-managed single-member form. A will does not override a TOD registration.

## **7. The Executory Contract Article (Multi-Member Article 11)**

Article 11 is bankruptcy armor. It frames the agreement as a contract with ongoing, unperformed duties owed by every member — capital calls (if §6.2 is included), participation in governance, noncompetition (if Alternative A is selected), confidentiality, and non-disparagement — and, citing Florida bankruptcy precedent, takes the position that a bankruptcy trustee for one member cannot take over or sell that member's interest without the other members' consent. Together with the charging-order provision (§10.6), it is designed to keep a co-owner's personal bankruptcy or judgment creditor from putting a stranger in your company.

Understand its limits: bankruptcy courts have broad equitable powers, and no provision of any operating agreement is guaranteed to control a bankruptcy court. Article 11 gives your side the strongest available argument; it is not a force field. Also note that the more optional duties you delete (capital calls, noncompetition), the fewer anchors Article 11 has — it still functions on the remaining duties, but each deletion narrows it.

## **8. Signing, Storing, and Changing the Agreement**

**Sign before you operate.** The agreement (with its Series Exhibits) should be signed by every member — and acknowledged by the manager in the manager-managed forms — before the company does business, and a Series Exhibit should be adopted no later than each series' designation is filed.

**Store the signed agreement with the company's records** — it is itself part of the records that protect your series (§8.5(a)).

**Amendments must be written and signed.** The agreement is amended by the sole member (single-member forms) or by all members (multi-member forms). A Series Exhibit is part of the agreement and amends the same way, with one deliberate exception: in the **manager-managed multi-member forms**, the manager may amend a Series Exhibit alone — unless the amendment would alter any member's rights or obligations under the agreement, in which case every member must sign. Separately, in the four multi-member forms, the manager (or administrative member) may update Exhibit A and the Series Exhibits without further consent solely to record changes already made under the agreement — admissions, transfers, TOD designations, capital adjustments; in the manager-managed single-member forms the Manager may do the same; in the member-managed single-member forms the Member simply signs the change. That is recording, not amending. Oral side-deals have no effect and undermine the structure.

**When to involve an attorney:** admitting outside investors, series operating in other states, an owner's divorce or bankruptcy, converting an existing LLC with existing debts, S corporation or

other special tax elections, or any dispute. These forms are designed for common situations; they cannot substitute for advice about yours.

*Instructions, First Edition — August 2026 — accompanies the MyFloridaSeriesLLC Operating Agreement forms (Manager-Managed and Member-Managed, Single Member and Multiple Members, each with an S corporation version). These instructions are informational material of MyFloridaSeriesLLC and are not legal advice, are not part of any operating agreement, and create no attorney-client relationship.*